



Financial Setup: **Advanced G/L Account** **Determination**

SAP Business One
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THE BEST RUN 

Welcome to the advanced G/L account determination topic.

Objectives



At the end of this topic, you will be able to:

- Implement the G/L Account Determination – Advanced Solution in a new company.
- Explain how to convert an existing company to start using the advanced solution.

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- Implement the G/L Account Determination – Advanced Solution in a new company.
- Explain how to convert an existing company to start using the advanced solution.

Business Scenario



OEC Computers is located in the US and previously sold mostly to domestic customers.

Now they are expanding sales in Canada and Brazil.

- In the Profit and Loss report James, the CEO, wants to see what are the profits for each item group (for example **Printers**) per country (for example **Canada**).
- For this purpose, they should define a separate revenue account for each item group per country (for example, revenues from printers in Canada).

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For this purpose, they should define a separate revenue account for each item group per country (for example, revenues from printers in Canada).

Default G/L accounts The Setup for the Advanced Solution



- G/L Account Determination Window
 - Sales
 - Purchasing
 - General (for example, Period End Closing)
 - Inventory
 - Resources and WIP Mapping

Reminder: what is the Advanced G/L Account Determination solution for defining default G/L accounts?

- Traditional Solution – Default G/L method for an item



- Advanced G/L Account Determination
 - *G/L Account Determination* window is used to define G/L accounts in the company level
 - You can also **define rules** for assigning G/L accounts in journal entries.

Here is a reminder for the advanced solution:

The G/L Account Determination window is used to define G/L accounts in the company level.

In addition, the advanced solution provides centralized matrix to determine rules for assigning G/L accounts in journal entries according to a predefined (closed) list of criteria.

Therefore, the solution is more flexible and consistent with accounting.

Default G/L accounts The Setup for the Advanced Solution

#	Type of Account	Account Code	Account Name	Advanced Rules
	Inventory Account	130000	Raw Materials	2 Rules
	Cost of Goods Sold Account	500005	Raw Materials - Cost of Goods Sold	2 Rules
	Allocation Account	208040	Goods Received Not Invoiced (GRNI)	
	Variance Account	500200	Materials - Purchase Price Gains	
	Price Difference Account	500200	Materials - Purchase Price Gains	
	Negative Inventory Adj. Acct.	500005	Raw Materials - Cost of Goods Sold	
	Inventory Offset - Decr. Acct.	500510	Stock Difference Losses	
	Inventory Offset - Incr. Acct.	500500	Stock Difference Gains	
	Sales Returns Account	130081	Raw Materials Returns A/c	3 Rules
	Exchange Rate Differences Acc.	500520	Misc Stock Costs	
	Goods Clearing Account	130090	Raw Materials Goods Clearing	3 Rules
	G/L Decrease Account	500310	Stock Revaluation Losses	
	G/L Increase Account	500300	Stock Revaluation Gains	
	WIP Inventory Account	131000	Work in Progress	
	WIP Inventory Variance Account	500180	Work in Progress - Inventory Change	
	WIP Offset P&L Account			
	Inventory Offset P&L Account			
	Expense Clearing Account			
	Stock in Transit Account	208040	Goods Received Not Invoiced (GRNI)	8 Rules
	Shipped Goods Account			

Let us review the setup of the advanced solution for G/L Account Determination.

- The current *G/L Account Determination* form will be used to define G/L accounts in the company level (go to the *Administration* module, choose *Setup, Financials, G/L Account Determination* and again *G/L Account Determination*).
- The Advanced Rules column will indicate if a rule exists. Once the user defines an advanced rule for a specific account, the *Advanced Rules* column of this account will be updated in the *G/L Account Determination* window with a number of rules defined for the account and a link to the advanced form.
- While choosing the link arrow, the advanced form opens (in editable mode), filtered, and displays only the advanced rules related to this account.
- Using the Advanced button you open the *Advanced G/L Account Determination Rules* window.

System Initialization - Steps

In a new database

- You should follow these steps to start working with the G/L Account Determination – Advanced Solution:

1. Activate the solution.
2. All new items will be set to *Advanced Rule Type: General* (automatic).
3. Define determination criteria.
4. Set the *Advanced G/L Account Determination Rules - Inventory* form.



Let us go over the necessary definitions for start working with the advanced solution.

In a new database you should follow these steps to start working with the G/L Account Determination – Advanced Solution:

- First, you activate the solution.
- All new items will be automatically set to *Advanced Rule Type: General*.
- Then, you define determination criteria.
- And finally, Set the *Advanced G/L Account Determination Rules - Inventory* form.
- In the following slides we will go over the four steps and see how to initialize the G/L Account Determination – Advanced Solution.

1. Activate the Advanced Solution In a **New Database**

Activating the solution:

- **Administration → System Initialization → Company Details → Basic Initialization**
- Check the *Enable Advanced G/L Account Determination* box:
 - New windows and fields will be available for the user.
 - In an existing company, fields will be changed or removed.
 - Note! you need to make decisions about G/L Account Determination together with the client accountant.



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7

- To activate the solution go to: **Administration → System Initialization → Company Details → Basic Initialization** and check the *Enable Advanced G/L Account Determination* box.
- Once you check the box, new windows and fields are available under the *G/L Account Determination* menu item in the Financials Setup area in the *Administration* module.
- In an existing company, fields will be changed or removed after checking the *Enable Advanced G/L Account Determination* box.
- More details on the changes in an upgraded company and on how to configure it will be discussed later.
- Note! you need to make decisions about G/L Account Determination together with the client accountant.

2. Item Master Data – Advanced Rule Type Field

The screenshot shows the SAP Item Master Data form for Item No. A000003, Description J.B. Officeprint 1186. The Item Type is set to 'Items'. The Price List is 'Base Price' and the Unit Price is 'GBP 150.00'. The 'Advanced Rule Type' dropdown is highlighted, showing options: General, Warehouse, and Item Group. The 'Advanced G/L Account Determination Rules' table is also visible, showing a list of rules with columns: Priority, Code, Type, Item Gr., Item Code, Warehouse, Business Partner, Description, and Active. The 'General' rule type is selected in the dropdown.

Priority	Code	Type	Item Gr.	Item Code	Warehouse	Business Partner	Description	Active
1	R30	General	*Items	*L300002	*AB	*AB		
2	R30	General	*Items	*L300002	*AB	*AB		
3	R30	General	*Items	*L300002	*AB	*AB		
4	R31	General	*Items	*L300002	*AB	*AB		
5	R31	General	*Items	*L300002	*AB	*AB		
6	R31	General	*Items	*L300002	*AB	*AB		
7	R31	General	*Items	*L300002	*AB	*AB		
8	R31	General	*Items	*L300002	*AB	*AB		
9	R31	General	*Items	*L300002	*AB	*AB		
10	R31	General	*Items	*L300002	*AB	*AB		
11	R31	General	*Items	*L300002	*AB	*AB		
12	R31	General	*Items	*L300002	*AB	*AB		
13	R31	General	*Items	*L300002	*AB	*AB		

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8

- The *Advanced Rule Type* in the item is a new field that determines which rule will be used to choose the inventory G/L accounts in the journal entry created by the document for this item.
- After activating the advanced solution, all new items will be set automatically to **Advanced Rule Type: General**.
- The advanced rule type is the first criterion for automatically picking of the advanced G/L account determination rule.
- We recommend to keep the *General* advanced rule type in all items and rules. A different advanced rule type will be set automatically by the system in special scenarios of migration from the traditional solution to the advanced solution.
- Note!
 - For items defined as *Warehouse* and *Item Group* rule type, rules with the same type as well as the *General* type will be considered as relevant.
 - Also note! The *Set G/L Account By* field in the *Item Master Data* under the *Inventory Data* tab is changed to: *Set Inventory Method By*. The field values (*Warehouse*, *Item Group* and *Item Level*) will remain the same but they will no longer affect the accounts determination.

3. Define Determination Criteria

The *Determination Criteria* window provides a predefined (closed) list of criteria

The user will be able to:

- Activate all or some of the criteria depends on the business need.
- Define (or change) the criteria priority using the *Up* and *Down* buttons.

#	Determination Criteria	Active
1	Item Group	☒
2	Warehouse Code	☒
3	Ship-to Country	☒
4	Item Code	☒
5	Business Partner Group	☐
6	VAT Number	☐
7	Ship-to State	☐
8	VAT Code	☐
9	BP Code	☐
10	BP Type	☐
11	UDF1	☐
12	UDF2	☐
13	UDF3	☐
14	UDF4	☐
15	UDF5	☐

☐ Apply Ship-to Country/Ship-to State on Purchasing

OK Cancel

- When you enable the advanced solution, the *Determination Criteria – Inventory* window appears under the *G/L Account Determination* menu item in the Financials Setup area in the *Administration* module.
- The *Determination Criteria – Inventory* window provides a predefined (closed) list of criteria: Item Code, Item Group, Warehouse Code, Ship-to Country, Ship-to State, Business Partner Group, user defined fields and more.
- In this window, you will be able to activate all or some of the criteria depending on the business need.
- If an active determination criterion is not in use by any of the advanced rules, you can uncheck it to make it inactive.
- You can define or change the criteria priority using the *Up* and *Down* buttons.

Note!

- Once you activate the advanced solution the system checks the criteria in this window according to the values (Warehouse, Item Group, Item Level) defined in the *Set G/L Account By* field in the *Item Master Data* under the *Inventory Data* tab.
- When you choose the *Item Code* criterion, the *Item Group* criterion will be automatically selected too. This is due to the fact that in the item master data, item group is a mandatory field.
- Use the *Determination Criteria – Resources* window for criteria definition of those accounts which will be used when posting transactions involving Resources.
- You can then define advanced rules based on this set of criteria in the *Advanced G/L Account Determination Rules – Resources* window.

4. Set the Advanced G/L Account Determination Rules for Inventory

Priority	Code	Type	Item Group	Item Code	Warehou...	Business ...	Description	Active
1	R10	General	Items	LB0002	All	All		☒
2	R8	General	Items	L10001	All	All		☒
3	R9	General	Items	LB0001	All	All		☒
4	R11	General	J.B.	All	04	All		☒
5	R1	General	J.B.	All	All	All		☒
6	R2	General	*	All	All	All		☒
7	R3	General	Rainbow Pr	All	All	All		☒
8	R4	General	Accessories	All	All	All		☒
9	R5	General	Servers	All	All	All		☒
10	R6	General	PCs	All	All	All		☒
11	R7	General	Storage	All	All	All		☒
12	R19	General	All	All	All	High Tec		☒
13		General	All	All	All	All		☒

In the *Advanced G/L Account Determination Rules – Inventory* form you define rules for assigning G/L accounts in journal entries.

- The advanced form deals with item-related accounts only. These are the same accounts that you define in the *Item Master Data* in the traditional solution.
- When creating a new posting period, rules from the last period will be copied to the new period.
- For each rule you should define at least one criterion and one account.
- When defining new rules, we recommend to keep the *General* advanced rule type unless a special scenario was migrated from the traditional solution.
- *General* is the default type for each new rule you create. The *Type* column is hidden as default. You can add it to the *Advanced G/L Account Determination Rules – Inventory* window by choosing the *Form Settings* option from the tool bar.
- Use the *Warehouse Code* and the *Item Group* criterions instead of using the *Warehouse* and *Item Group* advanced rule types.

Advanced Rules Priority

The priority (rows order) in the *Determination Criteria* window sets the priorities in the *Advanced G/L Account Determination Rules* window.

Note!

Entering a specific value has a higher priority than the value **All**.

Priority	Code	Type	Item Group	Item Code	Warehouse Code	Busin.	Descr.	Active	Inventory Acc.	Revenue Account
1	R10	General	Items	1100001	All	All		☒	400010	400010
2	R8	General	Items	1100001	All	All		☒	400010	400010
3	R9	General	Items	1100001	All	All		☒	400010	400010
4	R11	General	3.B.	All	04	All		☒	130010	400020
5	R1	General	3.B.	All	All	All		☒	420000	420000
6	R2	General	+	All	All	All		☒	420000	420000
7	R3	General	Rainbow Pts	All	All	All		☒	132000	
8	R4	General	Accessories	All	All	All		☒		400040
9	R5	General	Servers	All	All	All		☒		
10	R6	General	PCS	All	All	All		☒		
11	R7	General	Storage	All	All	All		☒		
12	R19	General	All	All	All	High 1		☒		

#	Determination Criteria	Active
1	Item Group	☒
2	Item Code	☒
3	Warehouse Code	☒
4	Business Partner Group	☒
5	VAT Number	☒
6	Ship-to Country	☒
7	Ship-to State	☒
8	VAT Code	☒
9	BP Code	☒
10	BP Type	☒
11	UDF1	☒
12	UDF2	☒
13	UDF3	☒
14	UDF4	☒
15	UDF5	☒

☐ Apply Ship-to Country/Ship-to State on Purchasing

OK Cancel

The priority (that is the rows' order) in the *Determination Criteria* window sets the priorities in the *Advanced G/L Account Determination Rules* window. This is reflected in two ways:

- First, the columns names and order - the first row in the *Determination Criteria* window sets the highest priority. And so on for the rest of the rows.
- Then, the rows order – the first row in the *Determination Criteria* window sets the rule with the highest priority in the *Advanced G/L Account Determination Rules* table. And so on for the rest of the rows.

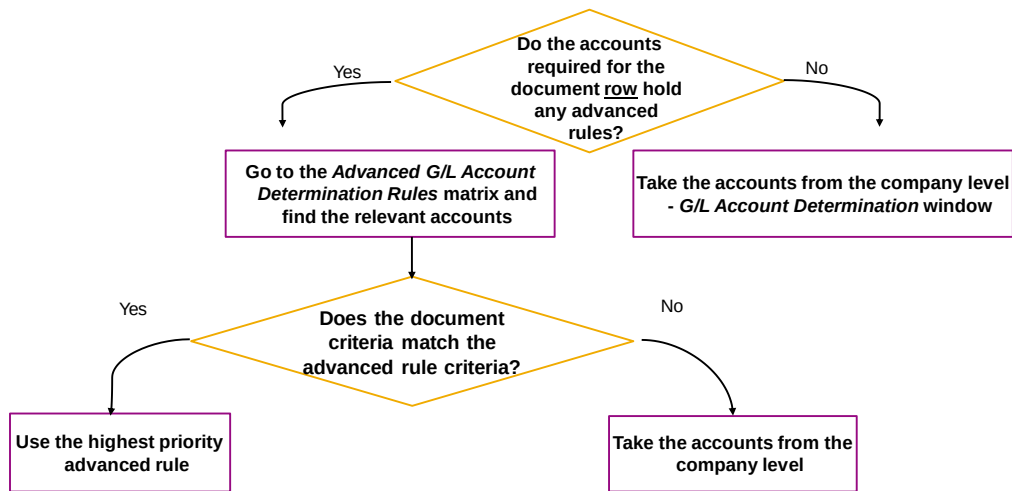
Once you define a new advanced rule (or change the rule criteria) and update the form, the system will automatically prioritize the rules according to the determination criteria.

When you change the determination criteria priorities, the advanced rules priorities will be automatically updated accordingly the next time you open the form.

Note!

- Entering a specific value has a higher priority than the value **All**.
- Let us look at the example shown: the 3 rules in the *Advanced G/L Account Determination Rules* window have specific values.
- In the first 2 rules an item group is specified and in the third rule a warehouse is specified.
- The first 2 rules have higher priority since *Item Group* is ranked higher than *Warehouse Code* in the *Determination criteria* window.

How Does it Work in Marketing and Inventory Documents



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12

- Let us see how the G/L Account Determination – Advanced Solution behaves in everyday work.
- In marketing and inventory documents the item related accounts are automatically picked according to the rules defined in the company.
- When you choose an item in a marketing document for example, an A/R Invoice, the system checks the accounts required for the transaction. In our example, the inventory and the revenue accounts.
- The system checks if there are any rules defined for these accounts in the *G/L Account Determination* window.
- If not, the accounts are taken from the company level - *G/L Account Determination* window.
- If there are rules defined for the necessary accounts, the system goes to the *Advanced G/L Account Determination Rules* window and looks for the appropriate rule.
- The system checks if the document criteria match any of the advanced rules criteria.
- If so, it picks the advanced rule with the highest priority.

Account Picking Rules – Document Criteria

A/R Invoice

Customer: C333000
 Name: Danny Music
 Contact Person:
 Customer Ref. No.:
 BP Currency: GBP

No.: Primary 1321
 Status: Open
 Posting Date: 10.08.
 Due Date: 09.09.
 Document Date: 10.08.

Contents | Logistics | Accounting | Electronic Documents | Attachments

#	Item No.	Quantity	Unit Price	Disco...	Tax Code	Total (LC)
1	400002	1	GBP 150.00	0.00 O1		GBP 150.00
2				0.00 O1		

Advanced GL Account Determination Rules - Inventory

Period: 2020

Priority	Code	Type	Item Group	Item Code	Warehouse Code	Busin...	Descr...	Active	Inventory Acc...	Revenue Account
1	R10	General	Items	L30002	AI	AI		☒		400010
2	R8	General	Items	L13001	AI	AI		☒		400010
3	R9	General	Items	L30001	AI	AI		☒		400010
4	R11	General	J.B.	AI	04	AI		☒	130010	400020
5	R1	General	J.B.	AI	AI	AI		☒		
6	R2	General	*	AI	AI	AI		☒		420000
7	R3	General	Rainbow Pns	AI	AI	AI		☒		420000
8	R4	General	Accessories	AI	AI	AI		☒	132000	
9	R5	General	Servers	AI	AI	AI		☒		
10	R6	General	PCs	AI	AI	AI		☒		
11	R7	General	Storage	AI	AI	AI		☒		
12	R19	General	AI	AI	AI	High 1		☒		400040

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13

- When you issue a marketing document for example, an A/R Invoice, the system picks the rules from the period that matches the document posting date.
- From these rules, the system filters the advanced rule type that matches the type in the item master data.
- In our example, the advanced rule type in the item is *General*. The system will pick from the rules defined as *General* type.

Account Picking Rules – Document Criteria

Determination Criteria:

Business Partner Master Data Driven:

- Ship-to Country
- Ship-to State
- BP Group
- BP Code
- BP Type

Item Master Data Driven:

- Item Code
- Item Group
- Warehouse Code
- ...

The screenshot displays two SAP windows. The top window is 'A/R Invoice' for customer 'C333000' (Denny Music). It shows a line item with quantity 1, unit price GBP 150.00, and item 'A00003'. The bottom window is 'Advanced G/L Account Determination Rules - Inventory'. It shows a table of rules with columns: Priority, Code, Item Group, Warehouse Code, Ship-to Country, Item Code, Description, Type, From Date, To Date, Inventory Account, Revenue Account, and Co... The first rule (Priority 1) matches 'J.B. Printer' (Item Group) and 'Canada' (Ship-to Country), with Inventory Account 132010 and Revenue Account 420000. The second rule (Priority 2) matches 'Special production' (Item Code) and 'Canada' (Ship-to Country), with Inventory Account 132000 and Revenue Account 132009.

Priority	Code	Item Group	Warehouse Code	Ship-to Country	Item Code	Description	Type	From Date	To Date	Inventory Account	Revenue Account	Co...
1	R01	J.B. Printer	All	Canada	All		General			132010	420000	
2	R02	J.B. Printer	All	All	A00003	Special production	General			132000		
3	R03	All	02	Canada	All		General			132009		
4		All	All	All	All		General					

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14

- Next, the system checks the business partner and the item master data chosen in the document, and filters the rules list by the criteria defined for them.
- In our example, the system picks the rule according to the following criteria:
 - If the Ship-to Country of the business partner master data is **Canada** and the item belongs to the **J.B. Printers** item group, then choose the revenue and inventory accounts defined in the first rule.
 - The rule overrides the G/L accounts defined in the G/L Account Determination window.
- The inventory and revenue accounts defined for this rule will be included in the journal entry created by the A/R Invoice.
- If only one account is defined in the rule, the other accounts relevant for the journal entry creation will be taken from the company level definition, that is from the *G/L Account Determination* window.
- So for example, if a rule matches the two relevant criteria (that is, ship-to country **Canada** and the item group **J.B. Printers**) and has only the revenue account defined, the inventory account will be taken from the *G/L Account Determination* window.
- If more than one rule answers the document line criteria, the highest priority rule will be picked.

The Journal Entry Created

The screenshot displays the SAP A/R Invoice interface. At the top, the header includes fields for Customer (C333000), Name (Danny Music), Contact Person, Customer Ref. No., BP Currency (GBP), No. (1321), Status (Open), Posting Date (10.08), Due Date (09.09), and Document Date (10.08). Below this, there are tabs for Contents, Logistics, Accounting, Electronic Documents, and Attachments. The main table lists items with columns for Item No., Item Description, Quantity, Unit Price, Discount, Tax Code, and Total (LC). Item 1 is A00002, described as 'J.B. Officeprint 11', with a quantity of 1, unit price of GBP 150.00, and a total of GBP 150.00. A context menu is open over the table, showing options like Copy Table, Paste, Maximize/Restore Grid, Add Row, Delete Row, Duplicate Row, List of Items, Row Details..., New Activity, Payment Means..., Gross Profit..., Volume and Weight Calculation..., Packing Slip, Opening and Closing Remarks, Transaction Journal..., **Journal Entry Preview** (highlighted), and Save as Draft. At the bottom right, a summary section shows 'before Discount' as GBP 150.00, 'Tax' as GBP 30.00, and 'Total' as GBP 180.00.

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15

- If the user changes an account in the document manually, the updated account will be used in the journal entry.
- Note!
- To ensure you defined the advanced G/L account determination rules according to the customer expectations, we recommend to use the *Journal Entry Preview* option before adding the document. This option presents a simulation of the journal entry that will be created after adding this document (Right Click on the document header or footer to open the context menu and choose the *Journal Entry Preview* option).

Activating the Advanced Solution in an Existing Database

In an existing company that uses the traditional solution:

- Check the *Enable Advanced G/L Account Determination* box to activate the advanced solution.
- New windows and fields will be available.
- Fields will be changed or removed:
 - Set G/L Account By field is changed to: Set Inventory Method By in the Item Master Data window under the Inventory Data tab.
 - The *Accounting* tab including all accounts will be removed from the warehouse and item group definitions.
 - All account columns in the matrix will be removed from the *Item Master Data* → *Inventory Data* tab.



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16

- Finally, let us see how to configure the system in an existing company that uses the traditional solution.
- Check the *Enable Advanced G/L Account Determination* box in *Administration* → *System Initialization* → *Company Details* → *Basic Initialization* to activate the advanced solution.
- As mentioned in previous slides, once the user checks the box, the G/L account advanced functionality will be activated and new windows and fields will be available for the user.
- In an existing company, fields will be changed or removed after checking the *Enable Advanced G/L Account Determination* box:
 - Set G/L Account By field is changed to: *Set Inventory Method By* in:
 - *Administration* → *System Initialization* → *General Settings* → *Inventory tab* → *Items* tab.
 - And in *Inventory* → *Items Master Data* → *Inventory Data* tab.
 - The field values (*Warehouse*, *Item Group* and *Item Level*) will remain the same.
 - All implementations of the field (for example, the Multi Branches function) will remain as they are, except the G/L account assignment in documents.
 - The *Accounting* tab including all accounts will be removed from:
 - *Administration* → *Setup* → *Inventory* → *Warehouses*
 - And from *Administration* → *Setup* → *Inventory* → *Items Groups*
 - In the *Inventory Data* tab of the item master data, all account columns in the matrix will be removed.

How To Convert Data in an Existing Database?

Migration Options

Note that account assignments in item master data, item groups, and warehouses where you assign the G/L account will be completely removed.

If required, you can migrate the account assignments to the advanced G/L account determination rules.

How do you want to proceed?

☒ Migrate Account Assignments and Inventory G/L Account Determination Settings

☐ Preview Advanced G/L Account Determination Rules

☐ Migrate Inventory G/L Account Determination Settings Only

OK Cancel

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17

After the user checks the *Enable Advanced G/L Account Determination* box, the system suggests three options:

- With the first option, *Migrate Account Assignments and Inventory G/L Account Determination Settings*, all existing accounts assignment in warehouse level, item group level and item level will be migrated into the advanced G/L account determination rules.
- In the second option, *Preview Advanced G/L Account Determination Rules*, the system will simulate the expected accounts assignment and the user can view the advanced rules matrix and adopt or reject the rules.
- And in the last option, *Migrate Inventory G/L Account Determination Settings Only*, no accounts assignment is expected and only system forms and settings will be adjusted to the G/L Account Determination new matrix. We recommend to choose this option in case the company wants to reset the accounts determination and work according to the advanced rules structure.

Note!

Once the box is checked and transactions exist, it can be un-checked again, however in this case no accounts will be assigned and the *G/L Account Determination* form will be used to define G/L accounts in all levels: warehouse, item group and item level.

The accounts assignment will be migrated into all existing periods (Unlocked, Unlocked Except Sales, Closing Period, Locked).

Summary



Here are some key points:

The advanced solution provides:

- Centralized matrix to determine rules for assigning G/L accounts in journal entries according to a predefined (closed) list of criteria.

In a new company, you should follow these steps to start working with the G/L Account Determination – Advanced Solution:

- Activate the solution.
- All new items will be set to Advanced Rule Type: *General* (automatic).
- Define determination criteria.
- Set the *Advanced G/L Account Determination Rules - Inventory* form.

In marketing and inventory documents:

- The item related accounts are automatically picked according to the advanced rules defined in the company.

The advanced solution provides centralized matrix to determine rules for assigning G/L accounts in journal entries according to a predefined (closed) list of criteria.

In a new company, you should follow these steps to start working with the G/L Account Determination – Advanced Solution:

Activate the solution. As a result, all new items will be set to Advanced Rule Type: *General*. Then, define determination criteria and set the *Advanced G/L Account Determination Rules - Inventory* form.

In marketing and inventory documents, the item related accounts are automatically picked according to the advanced rules defined in the company.

Summary



If no rules were defined for these accounts:

- The accounts are taken from the company level, that is the *G/L Account Determination* window.

When activating the advanced solution in an existing company that uses the traditional solution, you have 3 options for:

- Migrating the existing account assignments to the advanced G/L accounts determination rules.

If no rules were defined for these accounts, the accounts are taken from the company level, that is the *G/L Account Determination* window.

If you choose to activate the advanced solution in an existing company that uses the traditional solution, you have 3 options for migrating the existing account assignments to the advanced G/L accounts determination rules.

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